CHAPTER 2

HAWKS, DOVES, OR OWLS

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My initial focus was, of course, on inflation. Whenever you want to embark on a set of actions in public life in India, it helps to have a report recommending the actions. The report indicates that wise people have thought deeply about the problem, and helps give the actions legitimacy. On monetary policy, our go-to report was the Dr Urjit Patel Committee report, which I described in my opening statement. My hope, which I shared with Dr Patel, was that we would get a roadmap much like the Dr Sukhamoy Chakravarty report was for monetary policy in the 1980s, and I was not disappointed. My task was now to figure out how to implement recommendations that could be implemented, and how to modify what could not.

One important recommendation was seemingly innocuous and technical. We moved from targeting Wholesale Price Index (WPI) inflation, which was not what the consumer experienced, to targeting Consumer Price Index (CPI) inflation, which was more closely related to the inflation in the basket of goods they bought in their daily lives. This step was a fundamental change in monetary policy – consumer price inflation had been much higher than wholesale price inflation for some time, which meant that interest rates would have to go higher and stay higher for longer if we had to curb CPI inflation. Would our industrialists, who had benefited from the era of cheap negative real interest rates, understand that that era was over, and that the much abused saver would now get a better deal? Would the industrialists protest?

Another important step was to embark on the road to targeting inflation. We set out on a glide path to bring down inflation into the target range suggested by the Urjit Patel Committee Report, with clear milestones every year. We met each milestone we had set for ourselves, even though many thought it would be impossible. As we met milestones, we pressed for a formal inflation management agreement with the government, in an attempt